To put these bills in context, we'd need to look at the problems that have plagued the agricultural sector in India for decades. Agriculture contributes about 20 per cent to India's GDP, down from almost half of the GDP contribution in 1991. The primary reason for this has been disproportionate growth in other sectors and services due to deregulation and delicensing as a result of which they have now stormed ahead. Despite this, Indian political will thus far, hadn't been strong enough to open up the agriculture sector, perhaps due to possible political repercussions, a display of which came to be witnessed once the bills were passed. About 87 per cent of all farmers in the agrarian sector are small and often landless. These farmers are poor and produce very little additional produce which can be sold in the market to generate income, i.e., marketable surplus. They are usually net buyers of food grains and often work as labourers on land owned by rich farmers to supplement their income. The rich landowning farmers act as moneylenders and suppliers of seeds and fertilizers to these small farmers in the locality. They also play a disproportionate role in the functioning of the local APMC, thus creating an elaborate ecosystem to exploit the smaller farmers. All in all, since the richer farmers produce excessive marketable surplus, they are usually the prime beneficiaries of increases in the minimum support prices (MSP)—a guaranteed price offered by the government on produce. The new laws not only retain the APMC and MSP systems but also create a parallel system of private markets in order to expand the supply chain and negotiating capacities of the small farmers, thus protecting them from the malpractices of the rich farmers' and traders' nexus which control APMCs. The laws also open up the opportunity for contract farming, reducing price volatility for the farmers and eliminating last-minute negotiations after harvest as in the case of MSP.[2]

However, some groups of farmers from the northern states of Punjab and Haryana, which account for the largest beneficiaries of produce procurement under MSP by the government via its agency the FCI, possibly became insecure about the fact that the FCI may gradually scale down procurement targets bearing an impact on their earnings. They also became worried that the PDS allotments may eventually move to the direct benefit transfer system, cutting out trader middlemen. PDS allotments account for over 80 per cent of FCI's outflows, benefitting wheat and paddy growers the most. The primary demand of the protesting farmers' unions was to